

Olevel economics

Chp:- Demand and Supply

Topic:- Price elasticity of Supply

alpha

By:-

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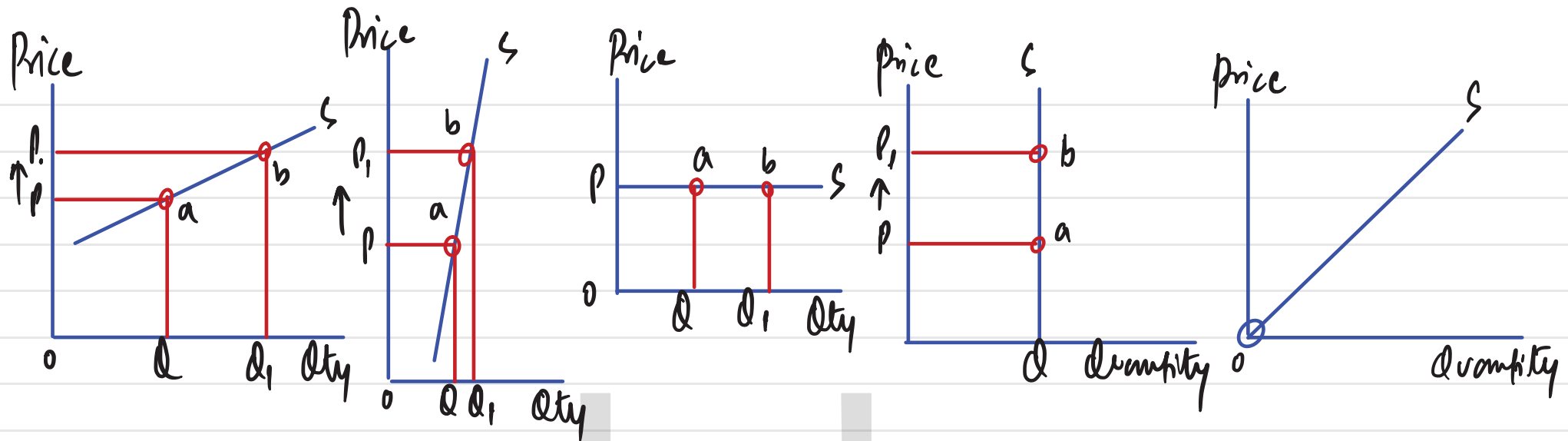
Price Elasticity of Supply (PES)

It measures the responsiveness to the percentage change in quantity supplied to the percentage change in price

$$\text{PES} = \frac{\text{percentage change in quantity supplied}}{\text{percentage change in price}} = +ve \quad (\text{Remember law of supply})$$

PES:- $>1, <1, =1, 0, \infty$

- >1 , elastic supply, percentage change in quantity supplied greater than percentage change in price.
- <1 , inelastic supply, percentage change in quantity supplied is smaller than percentage change in price
- 0 , perfectly inelastic supply, percentage change in price doesn't change quantity supplied
- ∞ , perfectly elastic, this essentially means that any amount of a good will be supplied at a prevailing price.
- $=1$, Unitary, percentage change in price is equal to percentage change in quantity supplied.



Determinants / factors / influence of PES:-

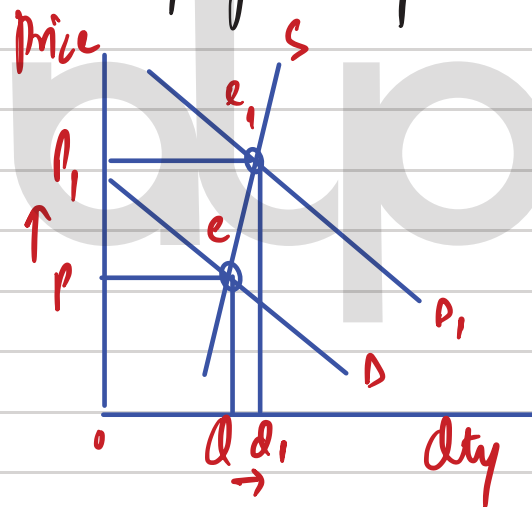
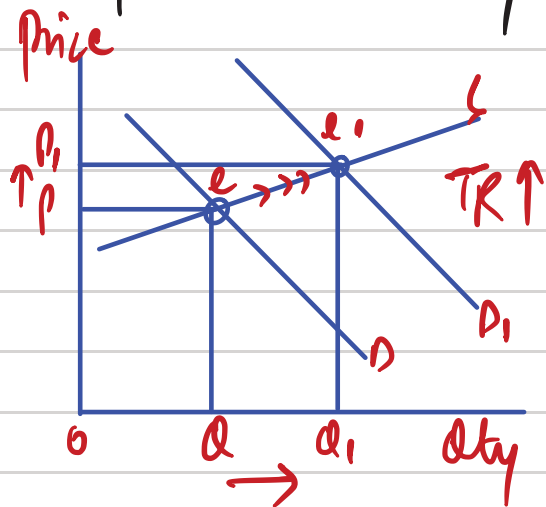
Time period, it may be impossible to increase the supply of a product - perfectly inelastic. In the short term, it may be possible to increase supply to some extent - inelastic. In long term, it will be easier to increase supply - elastic. Since in short run factors of production are fixed, responsiveness is low. So as inputs become variable, responsiveness increases.

If it is relatively easy to store a product, price elasticity of supply will be elastic. But if it is difficult to store, as with many agricultural products, supply will be inelastic.

The less costly it is to increase the supply of a product, more elastic the supply will be. The more expensive it is to increase the supply, it will be inelastic.

Implications of PES for decision making

Consumers benefit from supply being elastic. This is because it means that supply is responsive to consumer demand. If demand increases, price will rise. If supply is elastic, the quantity supplied will rise by a greater percentage than the change in price. Sales may rise significantly without there being a large increase in price.



Producers will always benefit whether supply is elastic or inelastic, an increase in demand will increase the revenue, as greater units will be sold at a higher price.

Usefulness of PES to a producer

E.g. Holiday resort, peak and peak off time!

Questions

Marks: 24

Q1 Define PES and explain its values ? 12

Q2 Explain the factors of PES ? 6

Q3 Explain the usefulness of PES ? 6

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